



In June, when Rajasthan invited bids to build a Battery Energy Storage System, or BESS, based on solar power, it attracted 50 offers, the most by any renewable energy and storage project in India. The project achieved the lowest tariff for any storage bids in the country.

The project, to generate 1000 Mega Watt (MW) of power and offer 2000 Mega Watt hours (GWh) of storage capacity, will strengthen the reliability of the electricity grid and reinforce the availability of renewable energy during peak hour. The bids opened on October 7 with a record low tariff of ₹1.77 lakh per hour, compared to previous low of ₹2.21 lakh per hour.

Stockwell Solar Services Private Limited, Oswal Cables Limited, Micromax Informatics Ltd, yoga guru Baba Ramdev's Patanjali Renewable Energy Ltd and RCRS Innovations Limited are among the lowest bidders.

The interest elicited by the tender wasn't surprising given recent trends. It's not just companies in the energy ecosystem that are bidding for battery storage projects,

which have generated interest too from highway developers, wealth managers, miners, irrigation companies—and even a manufacturer of undergarments. The interest is not surprising given the recent trends. It's not just companies in the energy ecosystem that are bidding. In fact, battery storage projects have generated interest from highway developers, wealth managers, miners, irrigation companies, and even a manufacturer of undergarments.

What is making everyone jump onto the battery storage bandwagon? A powerful draw is the country's energy transition roadmap, which includes ₹37,000 crore of Viability Gap Funding (VGF) by the government, to develop the BESS ecosystem by narrowing the gap between project costs and commercial viability. The goal is to build robust BESS infrastructure to store excess solar, wind and even hydro power generated during non-peak hours to meet peak demand.

Aggressive bids by contractors have triggered a 75% dip in standalone BESS tariffs in the

ENERGY NEEDS

500

MWh

Operational battery energy storage

186

GWh

Tenders issued till August 2025

82.3

GWh

Storage required by FY27

400

GWh

Capacity target by FY32

4%

Projected energy storage obligation by FY30

